

FINANCIAL CRIME MANAGEMENT INFORMATION REPORT Q2 2026

*Synthetic document for FIRA development. Lagoon Bank Plc is a fictional institution. Version 1.0.
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1 Executive Summary

Alert volumes increased in the second quarter, driven mainly by card testing bursts on online merchants and by money mule activity involving rapid pass-through of funds. The false-positive rate of the legacy velocity rule remained high because it does not compare activity with the customer's own baseline.

2 Alert Volumes by Scenario

Scenario	Alerts	Escalated	False positive rate
Legacy velocity	1,240	38	91%
Large transfer	860	41	84%
Geographic	415	22	88%
Mule pass-through	212	57	61%

3 Observations

Device sharing among unrelated customers was the strongest single network indicator in confirmed mule cases. Dormant accounts reactivated with large deposits followed by transfers out within a day were frequently linked to accounts sold to third parties.

4 Recommendations

Replace the legacy velocity rule with baseline-relative burst detection; add graph-based detection of circular flows; require investigators to document alternative legitimate explanations.